INTERNATIONAL MONETARY FUND

TOGO

October 4, 2019

FIFTH REVIEW UNDER THE EXTENDED CREDIT FACILITY ARRANGEMENT—DEBT SUSTAINABILITY ANALYSIS UPDATE[1]

Approved By
Dominique Desruelle (IMF) and Marcello Estevão (IDA)

Prepared by the staffs of the International Monetary Fund and the International Development Association

Joint Bank-Fund Debt Sustainability Analysis	
Risk of external debt distress	Moderate[2]
Overall risk of debt distress	High
Granularity in the risk rating	Substantial space to absorb shocks on external debt
Application of judgment	Yes: Historical vulnerability to multiple shocks

This Debt Sustainability Analysis (DSA) update confirms Togo's moderate risk of external debt distress and high risk of overall public debt distress—unchanged from the previous DSA published in June 2019. While the mechanical results point to a low risk of external debt distress, judgment was applied given domestic debt vulnerabilities; external debt distress is therefore considered to be moderate. The overall risk of debt distress is assessed as high considering that the PV of total PPG debt-to-GDP ratio breaches the debt distress benchmark through 2022 under the baseline. This analysis highlights the need for sustained fiscal consolidation, improved debt management, and strong macroeconomic policies to reduce the public debt to prudent levels over the medium term.

[1] This DSA was prepared jointly with the World Bank and in collaboration with the Togolese authorities.

[2] Togo's Composite Indicator (CI) is 2.86, which corresponds to a medium debt-carrying capacity as confirmed by the April 2019 WEO data and 2017 Country Policy and Institutional Assessment (CPIA).

BASELINE SCENARIO

1. The revised baseline macroeconomic assumptions for the present DSA are as follows. Real GDP growth and inflation are expected to be slightly higher than in the June 2019 forecast over the projection period; the primary fiscal surplus remains around 1.0 percent of GDP over the medium term, bringing the NPV of public debt comfortably below the benchmark for a country with medium debt-carrying capacity over the medium term. The current account balance is about 0.4 percentage point of GDP higher in 2019, essentially due to lower projected imports, and is expected to stabilize around a deficit of 5 percent of GDP over the medium term (Text Table 1).

2. Under the baseline scenario, all Togo's external debt indicators continue to remain below their indicative policy-relevant thresholds (Table 1, Figure 1). The PV of public and publicly guaranteed (PPG) external debt is projected at 16.6 percent of GDP in 2019 and will decrease to around 12.3 percent of GDP by 2029. The ratio of the PV of PPG external debt relative to exports is projected at 51.6 percent of GDP in 2019 and to decrease to 34.1 percent of GDP by 2029, below its indicative threshold. Similarly, debt service indicators remain well below their thresholds; the external debt service-to-exports ratio is projected between 3 to 5 percent and the external debt service-to-revenue ratio between 4 to 8 percent. Moreover, all external debt indicators remain below their respective thresholds under the alternative scenarios. Improvements in debt-management practices envisaged in the authorities' Fund-supported program and under technical assistance provided by the World Bank will give further resilience to shocks affecting debt service needs.

Text Table 1. Togo: Key Macroeconomic Assumptions

	2017-19	2020-29
Real GDP Growth (percent)		
DSA Update October 2019	4.9	5.5
DSA June 2019	4.8	5.4
Inflation (average, Y-o-Y percent change)		
DSA Update October 2019	0.7	2.0
DSA June 2019	0.7	2.0
Total Revenue (percent of GDP)[1]		
DSA Update October 2019	23.1	25.1
DSA June 2019	23.1	26.8
Fiscal Primary Balance (commitment basis, incl. grants, percent of GDP)		
DSA Update October 2019	0.9	1.0
DSA June 2019	0.9	1.0
Exports of goods and services (percent of GDP)		
DSA Update October 2019	32.1	34.1
DSA June 2019	32.2	34.2
Current Account Balance (percent of GDP)		
DSA Update October 2019	-4.4	-4.7
DSA June 2019	-4.3	-4.6

Sources: Togolese authorities and Staff calculations.
[1] Total revenue, including grants.

3. Under the historical scenario, several external debt indicators breach their respective thresholds in outer years. The PV of debt-to-export ratio breaches the threshold from 2028, and the PV of debt-to-GDP from 2023. The debt service-to-revenue ratio breaches the threshold in 2029. However, the debt service-to-exports ratio remains below the threshold during the projection period. All external debt indicators remain below their respective thresholds under the most extreme shock scenario.

4. The assumptions for the baseline scenario deviate from historic outcomes in key areas:

- Non-interest current account deficit. Togo's large non-interest current account deficits during the last ten years were primarily driven by imports for big public investment projects, which led to an excessive accumulation of public debt. The current fiscal consolidation and reforms to improve the investment and debt management capacity aim to keep public investment within limits that do not jeopardize debt sustainability.
- Export growth. Export growth is higher in the baseline scenario based on policy commitments in the National Development Plan, which is aiming to make Togo a regional commercial and transportation hub and a manufacturing base. The reforms have started to have an impact, as demonstrated by recent significant improvements under the World Bank's Doing Business Indicators.
- Non-debt carrying flows. The baseline projects average FDI inflows of 3.5 percent of GDP compared to historical outflows of 2.6 percent of GDP on average. The reliability of the historic numbers is in doubt because years with reported large FDI outflows coincided with large negative residuals, which suggests unreported non-debt carrying capital inflows in those years.

5. Togo's overall public debt dynamics highlight heightened vulnerabilities, with the debt-to-GDP ratio remaining above the indicative benchmark through 2022 (Figure 2). Under the baseline scenario, overall public debt is now forecasted at 73.1 percent of GDP in 2019, falling below 70 percent from 2020. By 2039, repayment of arrears coupled with significant fiscal consolidation is expected to significantly reduce domestic debt and total public and publicly guaranteed debt. Under the most extreme shock scenario, the ratio of PV of overall public debt-to-GDP would briskly rose in 2021 and decline below the indicative benchmark in 2026. Under the historical scenario, this ratio would remain above the indicative threshold during the entire projection period.

ALTERNATIVE SCENARIOS

A. Debt Reprofiling

6. The authorities plan to proceed with a debt reprofiling operation in the second half of 2019. The operation, supported by a Policy-Based Guarantee (PBG) from the World Bank, is expected to take place by end-2019. It currently envisages the issuance of new external debt at more favorable terms to repay outstanding domestic or regional debt. The ECF arrangement (2nd review) allows a debt reprofiling operation of up to about 8 percent of GDP, which was determined as the amount that keeps the external debt risk rating unchanged at moderate. In the reprofiling scenario presented in Tables 5 and 6, staff has assumed that the authorities would repay a total amount of USD 316 million (5.8 percent of GDP) of domestic debt. The interest rate on the new borrowing is assumed to be lower by about 300 basis points relative to the domestic/regional loans to be repaid; and the duration is expected to be twice longer. Under this scenario, Togo's debt sustainability improves slightly. The PV of public debt would decline to 22.8 percent of GDP in 2039 compared with 25.3 percent of GDP in the baseline. The PV of PPG external debt would be slightly higher at 14.6 percent of GDP in 2039 compared with 13.6 percent of GDP in the baseline. Alternative scenarios reveal breaches under standard stress tests. Under the most extreme shock scenario, the PV of PPG external debt-to-GDP would get very close to the threshold but only temporarily (Figure 6).

Because of the debt reprofiling, the total debt service-to-revenue ratio would decrease next year and then decline gradually from 45 percent in 2021 to 19 percent by 2029 (Figure 7).

7. While the debt reprofiling operation has several potential benefits, there are also risks. In addition to the benefits noted above (lower interest rate and a longer duration that reduces the medium-term rollover risk), the loan reduces the risk of fiscal crowding out, and increases the regional foreign exchange reserves. At the same time, the operation entails various risks, including (i) higher external debt ratios; and (ii) greater exchange rate risks. These risks are manageable given Togo's low share of external public debt (22 percent of GDP) and the Euro denomination of the external commercial loan. Procedures are in place to manage execution risks from this operation.

8. To reap maximum benefits from the debt reprofiling operation and minimize the associated risks, safeguards measures are necessary. The size of the operation should be capped below a limit that does not lead to a deterioration of the external debt distress rating. The operation should be conducted only for debt management purposes; *i.e.* the operation should lead to a reduction of the present value of debt. The operation should target the least favorable domestic/regional loans (in terms of interest rate and maturity) and loans that do not require early repayment penalties. Finally, the authorities' debt management capacity should be strengthened to ensure sound debt management in the medium and long term given higher exposure to international market risks (such as risks related to the exchange rate, interest rate, and investor base).

B. A Financial Sector Contingency

9. The weaknesses in the financial sector, including those related to the two state-owned banks, may create fiscal costs. Staff has developed a scenario assuming such fiscal costs, which are spread out over two years in 2020-21 (Figure 8). In this scenario, the planned decrease in the public debt is delayed by about one year and future debt service payments are higher, particularly over 2024-26.

RISK RATING AND VULNERABILITIES

10. Togo remains at a high risk of overall public debt distress. Togo had the largest overall debt-to-GDP ratio in WAEMU in 2018, at 76.2 percent of GDP (73.2 percent excluding debt of state-owned enterprises). In the baseline scenario, the ratio of PV of overall public debt-to-GDP stands above the indicative benchmark through 2022—but on a steady declining trend, under the assumption of a continued primary surplus at about 1 percent of GDP and substantial reduction in domestic debt. The analysis highlights the need for sustained fiscal consolidation, improved debt management, and macroeconomic policies to reduce the level of public debt to prudent levels over the medium term.

11. Fund and Bank staffs are of the view that the risk of external debt distress should be maintained at moderate, unchanged from the rating at the time of the last DSA of June 2019. All PPG external debt sustainability indicators are expected to remain below their indicative thresholds throughout the projection period (2019-39) under the baseline, the most extreme stress test, and the debt reprofiling scenario. However, while these mechanical results point to a low risk of external debt distress, judgment was

applied given vulnerabilities arising from the high domestic debt. Such vulnerabilities could, for instance, lead to a reprofiling operation that is larger than the current debt reprofiling scenario. This analysis also highlights the need for sustained fiscal consolidation, improved debt management, and strong macroeconomic policies to reduce the public debt to prudent levels over the medium term.

AUTHORITIES' VIEWS

12. The authorities broadly agreed with staff's assessment of Togo's public debt situation and recommendations. They concurred with staff's assessment of risk ratings and distress level. Given that Togo's current level of debt is still the highest among WAEMU members and the overall risk of debt distress remains high, they recognize that the fiscal consolidation must continue to bring public debt down below the relevant benchmark. The authorities are making efforts to improve debt management, including bringing the new debt department to full operation with adequate staffing.

Text Table 2. Togo: Public Debt Coverage and Design of Contingent Liability Test

	Subsectors of the public sector	Sub-sectors covered
1	Central government	X
2	State and local government	
3	Other elements in the general government	
4	o/w: Social security fund	
5	o/w: Extra budgetary funds (EBFs)	
6	Guarantees (to other entities in the public and private sector, including to SOEs)	X
7	Central bank (borrowed on behalf of the government)	
8	Non-guaranteed SOE debt	X

	The country's coverage of public debt	The central government, government-guaranteed debt, non-guaranteed SOE debt			
		Default		Used for the analysis	Reasons for deviations from the default settings
2	Other elements of the general government not captured in 1.	0	percent of GDP	0.0	
3	SoE's debt (guaranteed and not guaranteed by the government) 1/	2	percent of GDP	0.0	All SOE debt is already included in the country's coverage of public debt.
4	PPP	35	percent of PPP stock	6.8	
5	Financial market (the default value of 5 percent of GDP is the minimum value)	5	percent of GDP	5.0	
	Total (2+3+4+5) (in percent of GDP)			11.8	

1/ The default shock of 2% of GDP will be triggered for countries whose government-guaranteed debt is not fully captured under the country's public debt definition (1.). If it is already included in the government debt (1.) and risks associated with SoE's debt not guaranteed by the government is assessed to be negligible, a country team may reduce this to 0%.

Text Table 3. Togo: Calculation of the CI Score

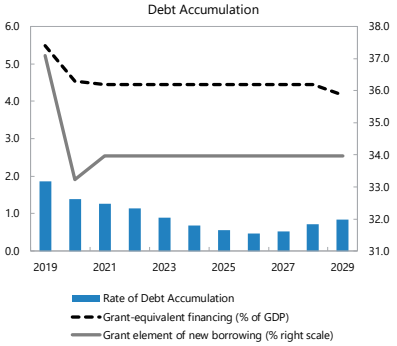
Components	Coefficients (A)	10-year average values (B)	CI Score components (A*B) = (C)	Contribution of components
CPIA	0.4	3.1	1.2	41%
Real growth rate (in percent)	2.7	5.3	0.1	5%
Import coverage of reserves (in percent)	4.1	40.2	1.6	56%
Import coverage of reserves^2 (in percent)	-4.0	16.2	-0.6	-22%
Remittances (in percent)	2.0	4.8	0.1	3%
World economic growth (in percent)	13.5	3.6	0.5	17%
CI Score			2.89	100%
CI rating			Medium	

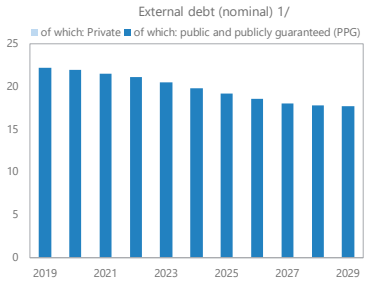
Table 1. Togo: External Debt Sustainability Framework, Baseline Scenario, 2016–39

(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 8/	
	2016	2017	2018	2019	2020	2021	2022	2023	2024	2029	2039	Historical	Projections
External debt (nominal) 1/	**20.2**	**20.1**	**20.5**	**22.2**	**21.9**	**21.5**	**21.1**	**20.5**	**19.8**	**17.7**	**19.8**	**20.7**	**19.8**
of which: public and publicly guaranteed (PPG)	**20.2**	**20.1**	**20.5**	**22.2**	**21.9**	**21.5**	**21.1**	**20.5**	**19.8**	**17.7**	**19.8**	**20.7**	**19.8**
Change in external debt	-1.5	0.0	0.3	1.7	-0.2	-0.4	-0.4	-0.6	-0.7	-0.1	0.2		
Identified net debt-creating flows	**15.2**	**-1.9**	**0.3**	**1.8**	**1.9**	**1.2**	**0.6**	**0.6**	**0.4**	**0.8**	**1.3**	**9.4**	**0.8**
Non-interest current account deficit	**9.4**	**1.6**	**4.6**	**5.3**	**5.7**	**5.3**	**4.9**	**5.0**	**4.8**	**5.2**	**5.7**	**7.4**	**5.1**
Deficit in balance of goods and services	18.4	10.5	12.3	12.5	12.9	12.4	11.9	11.9	11.8	12.1	12.4	**16.6**	**12.1**
Exports	35.3	33.1	31.3	32.1	32.0	32.5	33.1	33.5	34.0	35.9	40.6		
Imports	53.7	43.5	43.6	44.6	45.0	44.9	45.0	45.5	45.8	48.0	53.0		
Net current transfers (negative = inflow)	-7.6	-8.3	-7.0	-6.8	-6.6	-6.6	-6.4	-6.4	-6.4	-6.3	-5.9	**-7.7**	**-6.5**
of which: official	-1.6	-2.2	-1.1	-1.3	-1.2	-1.2	-1.2	-1.2	-1.2	-1.1	-0.5		
Other current account flows (negative = net inflow)	-1.3	-0.5	-0.7	-0.5	-0.5	-0.6	-0.6	-0.6	-0.6	-0.6	-0.7	**-1.4**	**-0.6**
Net FDI (negative = inflow)	**6.8**	**-2.5**	**-2.5**	**-2.7**	**-3.0**	**-3.2**	**-3.5**	**-3.6**	**-3.7**	**-3.8**	**-3.8**	**2.6**	**-3.5**
Endogenous debt dynamics 2/	**-1.0**	**-1.0**	**-1.8**	**-0.8**	**-0.9**	**-0.8**	**-0.8**	**-0.7**	**-0.7**	**-0.6**	**-0.6**		
Contribution from nominal interest rate	0.4	0.4	0.3	0.3	0.3	0.3	0.3	0.3	0.3	0.3	0.4		
Contribution from real GDP growth	-1.1	-0.8	-0.9	-1.1	-1.1	-1.1	-1.1	-1.1	-1.0	-0.9	-1.0		
Contribution from price and exchange rate changes	-0.3	-0.6	-1.2	...	...	...	...	...	...	...	...		
Residual 3/	**-16.6**	**1.9**	**0.0**	**-0.1**	**-2.1**	**-1.6**	**-1.0**	**-1.2**	**-1.1**	**-0.9**	**-1.1**	**-13.2**	**-1.1**
of which: exceptional financing	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators													
PV of PPG external debt-to-GDP ratio	**...**	**...**	**15.1**	**16.6**	**16.6**	**16.3**	**15.9**	**15.4**	**14.7**	**12.3**	**13.6**		
PV of PPG external debt-to-exports ratio	**...**	**...**	**48.2**	**51.6**	**51.8**	**50.1**	**48.2**	**46.0**	**43.3**	**34.1**	**33.5**		
PPG debt service-to-exports ratio	**4.9**	**5.9**	**4.9**	**3.9**	**3.9**	**3.6**	**3.8**	**4.4**	**4.8**	**3.8**	**2.5**		
PPG debt service-to-revenue ratio	**9.3**	**10.7**	**7.5**	**6.3**	**6.3**	**5.7**	**6.1**	**7.1**	**7.8**	**5.8**	**4.1**		
Gross external financing need (Billion of U.S. dollars)	0.2	0.3	0.5	0.5	0.6	0.6	0.7	0.8	0.9	1.3	3.1		
Key macroeconomic assumptions													
Real GDP growth (in percent)	5.6	4.4	4.9	5.3	5.5	5.5	5.5	5.5	5.5	5.5	5.5	**5.7**	**5.5**
GDP deflator in US dollar terms (change in percent)	1.3	2.9	6.4	-2.9	2.6	3.9	3.7	3.5	3.7	2.9	2.9	**-0.6**	**2.6**
Effective interest rate (percent) 4/	1.8	2.0	1.7	1.3	1.3	1.4	1.5	1.6	1.7	2.0	2.0	**1.5**	**1.7**
Growth of exports of G&S (US dollar terms, in percent)	5.3	0.6	5.5	4.8	8.1	11.2	11.4	10.6	11.0	9.8	10.8	**4.6**	**9.6**
Growth of imports of G&S (US dollar terms, in percent)	-0.7	-12.9	11.8	4.5	9.1	9.5	9.5	10.4	10.2	9.6	10.4	**4.4**	**9.2**
Grant element of new public sector borrowing (in percent)	...	...	...	37.1	33.2	34.0	34.0	34.0	34.0	34.0	34.0	**...**	**34.2**
Government revenues (excluding grants, in percent of GDP)	18.7	18.2	20.3	19.9	20.0	20.3	20.5	20.8	21.0	23.4	24.2	**17.9**	**21.3**
Aid flows (in Billion of US dollars) 5/	0.3	0.4	0.4	0.3	0.2	0.3	0.3	0.3	0.4	0.5	0.6		
Grant-equivalent financing (in percent of GDP) 6/	...	...	...	5.5	4.5	4.4	4.4	4.4	4.4	4.2	2.3	**...**	**4.5**
Grant-equivalent financing (in percent of external financing) 6/	...	...	...	70.1	71.8	74.1	74.1	74.1	74.1	72.8	59.4	**...**	**73.4**
Nominal GDP (Billion of US dollars)	4	5	5	5	6	6	7	8	8	13	29		
Nominal dollar GDP growth	6.9	7.4	11.6	2.2	8.2	9.6	9.4	9.2	9.4	8.6	8.6	**5.1**	**8.3**
Memorandum items:													
PV of external debt 7/	...	...	15.1	16.6	16.6	16.3	15.9	15.4	14.7	12.3	13.6		
In percent of exports	...	...	48.2	51.6	51.8	50.1	48.2	46.0	43.3	34.1	33.5		
Total external debt service-to-exports ratio	4.9	5.9	4.9	3.9	3.9	3.6	3.8	4.4	4.8	3.8	2.5		
PV of PPG external debt (in Billion of US dollars)			0.8	0.9	1.0	1.1	1.1	1.2	1.2	1.6	4.0		
(PVt-PVt-1)/GDPt-1 (in percent)				1.9	1.4	1.3	1.1	0.9	0.7	0.8	1.3		
Non-interest current account deficit that stabilizes debt ratio	10.9	1.7	4.3	3.6	6.0	5.7	5.3	5.6	5.5	5.3	5.6		

Definition of external/domestic debt	Currency-based
Is there a material difference between the two criteria?	Yes





Sources: Country authorities; and staff estimates and projections.

1/ Includes debt of the central government and public entities.

2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

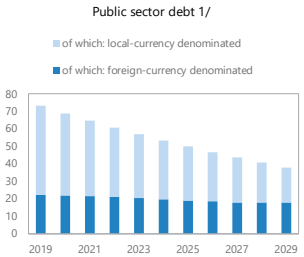
8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

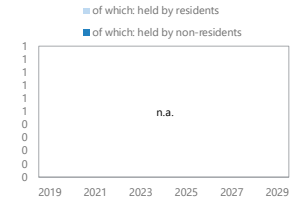
Table 2. Togo: Public Sector Debt Sustainability Framework, Baseline Scenario, 2016–39

(In percent of GDP, unless otherwise indicated)

	Actual			Projections												Average 6/	
	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2039	Historical	Projections
Public sector debt 1/	**81.4**	**76.0**	**76.2**	**73.1**	**68.9**	**64.7**	**60.8**	**57.0**	**53.3**	**49.9**	**46.7**	**43.7**	**40.8**	**37.9**	**31.5**	**64.8**	**54.3**
of which: external debt	**20.2**	**20.1**	**20.5**	**22.2**	**21.9**	**21.5**	**21.1**	**20.5**	**19.8**	**19.1**	**18.5**	**18.0**	**17.8**	**17.7**	**19.8**	**20.7**	**19.8**
Change in public sector debt	9.2	-5.4	0.2	-3.1	-4.1	-4.2	-3.9	-3.8	-3.7	-3.3	-3.2	-3.0	-2.9	-2.8	0.5		
Identified debt-creating flows	**5.5**	**-5.7**	**-1.8**	**-2.8**	**-3.9**	**-4.0**	**-3.7**	**-3.6**	**-3.5**	**-3.2**	**-3.1**	**-2.9**	**-2.8**	**-2.7**	**0.5**	**-6.0**	**-3.3**
Primary deficit	**7.2**	**-1.5**	**-1.6**	**0.4**	**-1.0**	**-1.0**	**-1.0**	**-1.0**	**-1.0**	**-1.0**	**-1.0**	**-1.0**	**-1.0**	**-1.0**	**2.0**	**3.3**	**-0.9**
Revenue and grants	21.6	21.4	23.9	24.0	23.7	23.9	24.2	24.4	24.6	25.2	25.6	26.1	26.5	26.7	25.7	**20.5**	**25.0**
of which: grants	2.9	3.2	3.6	4.1	3.6	3.6	3.6	3.6	3.6	3.6	3.6	3.6	3.6	3.4	1.5		
Primary (noninterest) expenditure	28.7	19.9	22.3	24.4	22.7	22.9	23.2	23.4	23.6	24.2	24.6	25.1	25.5	25.7	27.6	**23.8**	**24.1**
Automatic debt dynamics	**-1.7**	**-4.2**	**-1.4**	**-2.1**	**-2.9**	**-3.0**	**-2.7**	**-2.6**	**-2.5**	**-2.2**	**-2.1**	**-1.9**	**-1.8**	**-1.7**	**-1.5**		
Contribution from interest rate/growth differential	-2.2	-2.3	-2.3	-2.4	-2.6	-2.6	-2.4	-2.3	-2.2	-1.7	-1.5	-1.4	-1.3	-1.3	-1.0		
of which: contribution from average real interest rate	1.6	1.1	1.2	1.4	1.2	1.0	1.0	0.9	0.8	1.1	1.1	1.0	0.9	0.9	0.6		
of which: contribution from real GDP growth	-3.8	-3.4	-3.6	-3.8	-3.8	-3.6	-3.4	-3.2	-3.0	-2.8	-2.6	-2.4	-2.3	-2.1	-1.6		
Contribution from real exchange rate depreciation	0.5	-1.9	0.9	...	...	...	...	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.0**	**0.0**	**1.2**	**-1.1**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**-6.8**	**-0.1**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
2018 revenue arrears paid in 2019	0.0	0.0	1.2	-1.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**3.7**	**0.3**	**2.0**	**0.0**	**-0.5**	**-0.6**	**-0.5**	**-0.5**	**-0.5**	**-0.7**	**-0.7**	**-0.6**	**-0.6**	**-0.6**	**-0.5**	**4.4**	**-0.5**
Sustainability indicators																	
PV of public debt-to-GDP ratio 2/	**...**	**...**	**71.3**	**67.5**	**63.5**	**59.4**	**55.6**	**51.9**	**48.2**	**44.8**	**41.6**	**38.5**	**35.4**	**32.5**	**25.3**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**298.4**	**281.6**	**268.1**	**248.3**	**230.0**	**212.2**	**195.8**	**177.9**	**162.2**	**147.6**	**133.6**	**121.5**	**98.7**		
Debt service-to-revenue and grants ratio 3/	**55.5**	**101.7**	**57.7**	**38.6**	**47.3**	**50.1**	**34.8**	**35.6**	**35.1**	**33.1**	**32.0**	**27.9**	**26.6**	**21.8**	**12.1**		
Gross financing need 4/	19.1	20.3	13.4	8.6	10.2	11.0	7.4	7.7	7.6	7.4	7.2	6.3	6.1	4.8	5.1		
Key macroeconomic and fiscal assumptions																	
Real GDP growth (in percent)	5.6	4.4	4.9	5.3	5.5	5.5	5.5	5.5	5.5	5.5	5.5	5.5	5.5	5.5	5.5	**5.7**	**5.5**
Average nominal interest rate on external debt (in percent)	1.8	2.1	1.6	1.3	1.3	1.4	1.5	1.6	1.7	1.8	1.8	1.9	2.0	2.0	2.0	**1.5**	**1.7**
Average real interest rate on domestic debt (in percent)	3.0	1.9	2.6	2.9	2.8	2.5	2.6	2.5	2.5	2.5	2.5	2.5	2.5	2.4	2.6	**1.5**	**2.6**
Real exchange rate depreciation (in percent, + indicates depreciation)	2.7	-10.0	4.7	...	...	...	...	...	...	...	...	...	...	...	...	**2.2**	**...**
Inflation rate (GDP deflator, in percent)	1.5	0.9	1.7	2.1	2.8	2.9	2.9	2.9	2.9	2.9	2.9	2.9	2.9	2.9	2.9	**1.4**	**2.8**
Growth of real primary spending (deflated by GDP deflator, in percent)	7.1	-27.7	17.6	15.3	-2.0	6.7	6.7	6.6	6.3	8.2	7.2	7.6	7.2	6.3	5.5	**10.1**	**6.9**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	-2.1	3.9	-1.8	3.5	3.1	3.2	2.9	2.8	2.7	2.4	2.2	2.1	1.9	1.8	1.5	**0.0**	**2.6**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Currency-based**
Is there a material difference between the two criteria?	**Yes**





Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government, government-guaranteed debt, non-guaranteed SOE debt. Definition of external debt is Currency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 3. Togo: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2019–29

(In percent)

	Projections 1/										
	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
PV of debt-to GDP ratio											
Baseline	17	17	16	16	15	15	14	13	13	12	12
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2019-2029 2/	17	22	28	34	**40**	**46**	**52**	**58**	**63**	**68**	**73**
B. Bound Tests											
B1. Real GDP growth	17	17	17	16	16	15	14	14	13	13	13
B2. Primary balance	17	18	20	20	19	19	19	18	18	17	17
B3. Exports	17	20	27	27	26	24	23	22	21	20	19
B4. Other flows 3/	17	26	34	33	32	30	29	28	26	25	23
B5. One-time 30 percent nominal depreciation	17	21	16	16	16	15	14	13	13	13	13
B6. Combination of B1-B5	17	27	32	30	29	28	27	26	24	23	22
C. Tailored Tests											
C1. Combined contingent liabilities	17	20	19	19	18	18	18	17	17	16	16
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	40	40	40	40	40	40	40	40	40	40	40
PV of debt-to-exports ratio											
Baseline	52	52	50	48	46	43	41	39	37	35	34
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2019-2029 2/	52	69	87	104	121	136	152	167	180	**192**	**204**
B. Bound Tests											
B1. Real GDP growth	52	52	50	48	46	43	41	39	37	35	34
B2. Primary balance	52	57	61	59	57	55	55	53	50	49	48
B3. Exports	52	73	116	110	105	98	93	88	83	78	73
B4. Other flows 3/	52	81	106	100	95	89	85	80	75	70	65
B5. One-time 30 percent nominal depreciation	52	52	40	38	37	35	33	31	29	28	28
B6. Combination of B1-B5	52	87	92	108	103	97	92	87	81	76	71
C. Tailored Tests											
C1. Combined contingent liabilities	52	61	59	57	54	53	52	50	47	46	45
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	180	180	180	180	180	180	180	180	180	180	180
Debt service-to-exports ratio											
Baseline	4	4	4	4	4	5	5	5	5	4	4
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2019-2029 2/	4	4	4	5	7	8	9	10	11	11	12
B. Bound Tests											
B1. Real GDP growth	4	4	4	4	4	5	5	5	5	4	4
B2. Primary balance	4	4	4	4	5	5	5	6	5	5	5
B3. Exports	4	5	6	7	7	8	8	8	8	8	8
B4. Other flows 3/	4	4	4	5	6	6	6	6	7	7	6
B5. One-time 30 percent nominal depreciation	4	4	4	3	4	5	5	5	5	4	3
B6. Combination of B1-B5	4	4	5	6	7	7	7	8	8	8	7
C. Tailored Tests											
C1. Combined contingent liabilities	4	4	4	4	5	5	5	5	5	5	4
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	15	15	15	15	15	15	15	15	15	15	15
Debt service-to-revenue ratio											
Baseline	6	6	6	6	7	8	8	8	8	7	6
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2019-2029 2/	6	6	7	8	11	13	14	15	17	17	**18**
B. Bound Tests											
B1. Real GDP growth	6	6	6	6	7	8	8	8	8	7	6
B2. Primary balance	6	6	6	7	8	8	9	9	9	8	7
B3. Exports	6	6	6	8	9	9	10	10	9	9	8
B4. Other flows 3/	6	6	7	9	10	10	10	10	11	11	10
B5. One-time 30 percent nominal depreciation	6	8	7	7	8	9	10	10	9	7	6
B6. Combination of B1-B5	6	7	7	9	9	10	10	10	11	10	9
C. Tailored Tests											
C1. Combined contingent liabilities	6	6	6	7	7	8	8	9	8	7	6
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	18	18	18	18	18	18	18	18	18	18	18

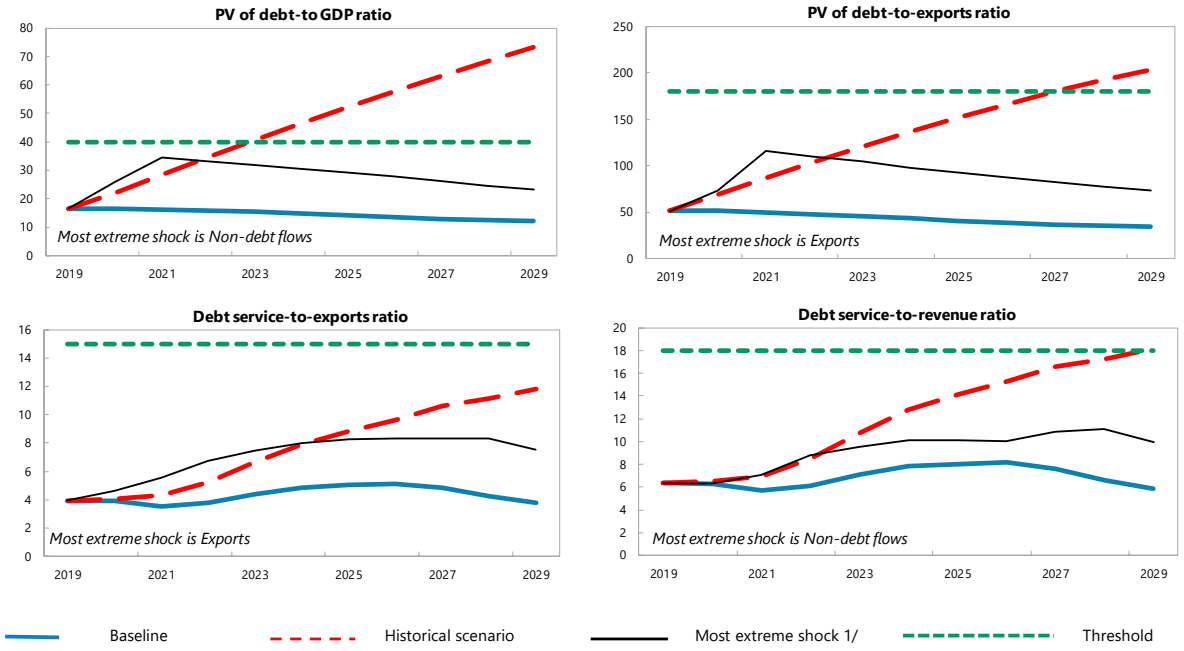
Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

Table 4. Togo: Sensitivity Analysis for Key Indicators of Public Debt 2019–29

	Projections 1/										
	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
PV of Debt-to-GDP Ratio											
Baseline	**68**	**64**	**59**	**56**	**52**	**48**	**45**	**42**	**38**	**35**	**32**
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2019-2029 2/	**68**	**67**	**67**	**67**	**66**	**66**	**65**	**65**	**65**	**64**	**64**
B. Bound Tests											
B1. Real GDP growth	**68**	**64**	**61**	**58**	54	51	48	45	42	39	36
B2. Primary balance	**68**	**70**	**73**	**69**	**65**	**60**	**56**	53	49	46	42
B3. Exports	**68**	**67**	**70**	**65**	**61**	**57**	53	50	46	42	39
B4. Other flows 3/	**68**	**73**	**77**	**73**	**68**	**64**	**60**	**56**	52	48	44
B5. One-time 30 percent nominal depreciation	**68**	**64**	**58**	53	48	43	39	34	30	26	22
B6. Combination of B1-B5	**68**	**67**	**63**	53	49	46	42	39	37	34	31
C. Tailored Tests											
C1. Combined contingent liabilities	**68**	**74**	**70**	**66**	**62**	**57**	53	50	46	43	40
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Public debt benchmark	55	55	55	55	55	55	55	55	55	55	55
PV of Debt-to-Revenue Ratio											
Baseline	282	268	248	230	212	196	178	162	148	134	122
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2019-2029 2/	282	284	279	274	269	264	257	251	245	239	235
B. Bound Tests											
B1. Real GDP growth	282	271	255	238	221	206	189	174	160	147	136
B2. Primary balance	282	296	303	283	264	246	224	206	189	173	159
B3. Exports	282	283	290	270	250	231	211	193	177	160	145
B4. Other flows 3/	282	307	324	301	279	259	237	218	199	180	163
B5. One-time 30 percent nominal depreciation	282	272	244	221	198	176	155	135	117	99	84
B6. Combination of B1-B5	282	284	265	220	203	187	169	154	142	128	116
C. Tailored Tests											
C1. Combined contingent liabilities	282	313	291	271	252	233	212	195	178	163	149
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Debt Service-to-Revenue Ratio											
Baseline	39	47	50	35	36	35	33	32	28	27	22
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2019-2029 2/	39	48	52	37	38	38	37	36	33	33	28
B. Bound Tests											
B1. Real GDP growth	39	48	51	36	36	36	35	34	30	28	24
B2. Primary balance	39	47	52	38	39	45	50	42	32	32	30
B3. Exports	39	47	51	36	37	36	34	33	29	29	24
B4. Other flows 3/	39	47	51	37	38	37	35	34	31	30	25
B5. One-time 30 percent nominal depreciation	39	45	48	34	35	35	32	31	28	26	21
B6. Combination of B1-B5	39	46	49	34	34	34	32	31	29	27	22
C. Tailored Tests											
C1. Combined contingent liabilities	39	47	52	37	38	48	45	35	30	31	28
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.
3/ Includes official and private transfers and FDI.

Figure 1. Togo: Indicators of Public Guaranteed External Debt Under Alternatives Scenarios, 2019–29 1/



Customization of Default Settings	Size	Interactions
Tailored Tests		
Combined CLs	Yes	
Natural Disasters	n.a.	n.a.
Commodity Prices 2/	n.a.	n.a.
Market Financing	n.a.	n.a.

Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

Borrowing Assumptions for Stress Tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	2.4%	2.4%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	27	27
Avg. grace period	6	6

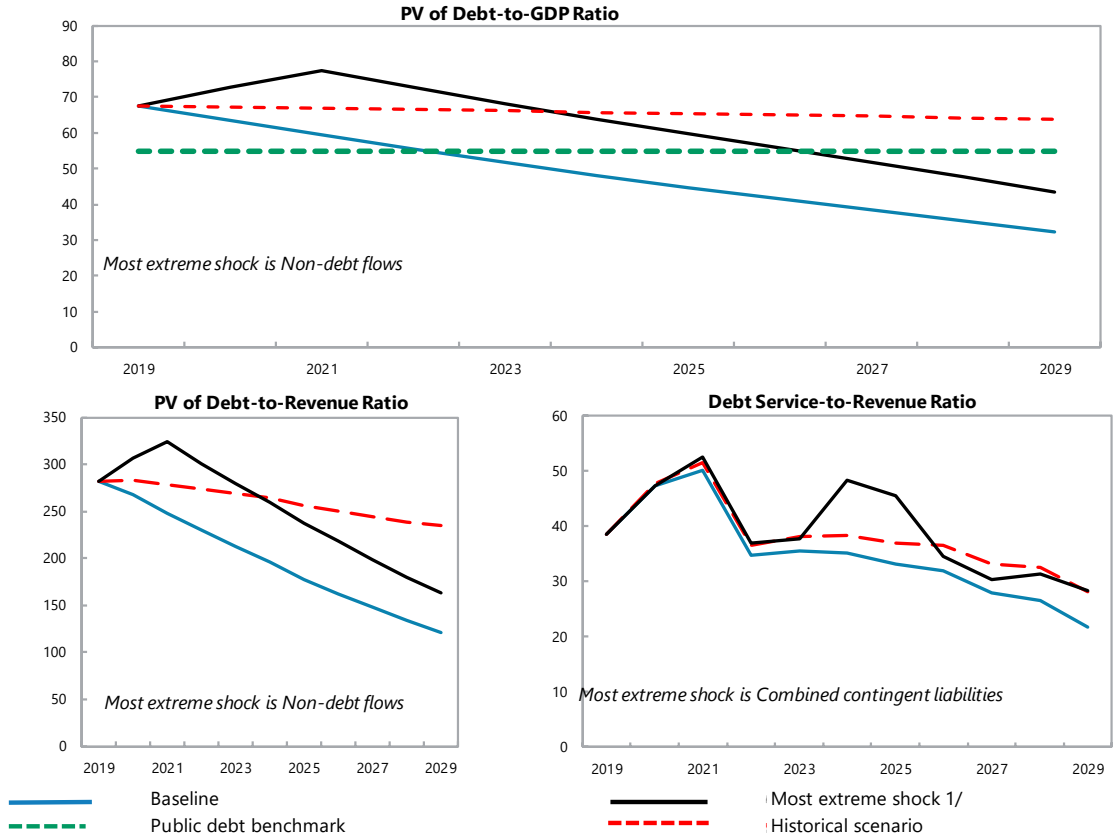
* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2029. Stress tests with one-off breaches are also presented (if any), while these one-off breaches are deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

2/ The magnitude of shocks used for the commodity price shock stress test are based on the commodity prices outlook prepared by the IMF research department.

Figure 2. Togo: Indicators of Public Debt Under Alternative Scenarios, 2019–29



Borrowing Assumptions for Stress Tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	35%	35%
Domestic medium and long-term	65%	65%
Domestic short-term	0%	0%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	2.4%	2.4%
Avg. maturity (incl. grace period)	27	27
Avg. grace period	6	6
Domestic MLT debt		
Avg. real interest rate on new borrowing	3.6%	3.6%
Avg. maturity (incl. grace period)	5	5
Avg. grace period	3	3
Domestic short-term debt		
Avg. real interest rate	3.7%	3.7%

* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

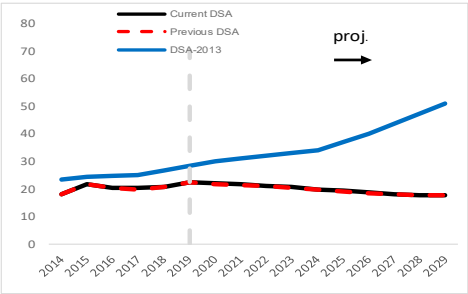
Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2029. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

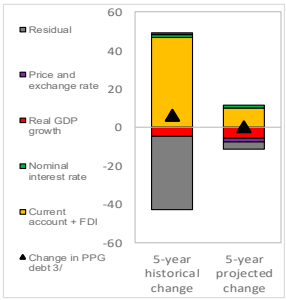
Figure 3. Togo: Drivers of Debt Dynamics – Baseline Scenario

External Debt

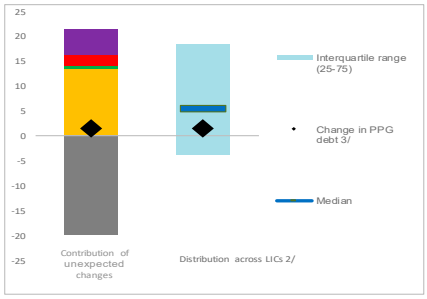
Gross Nominal PPG External Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)

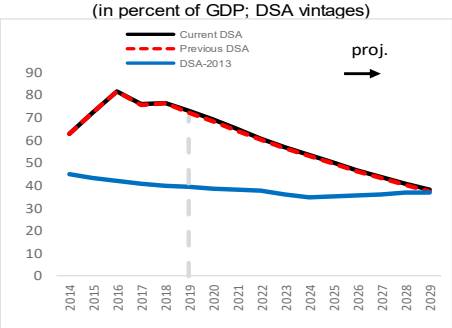


Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)

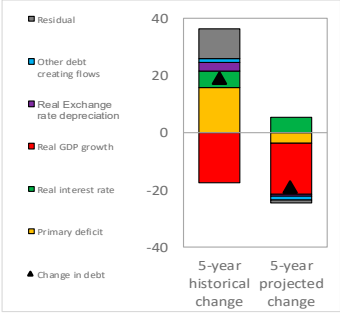


Public Debt

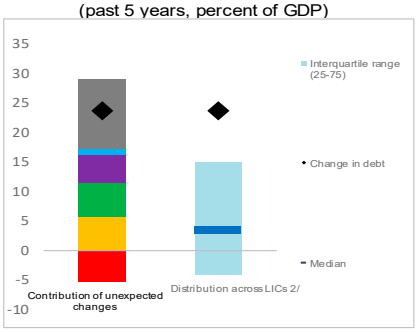
Gross Nominal Public Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)



Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)



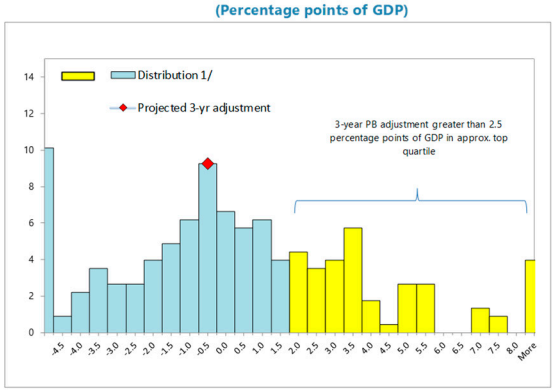
1/ Difference between anticipated and actual contributions on debt ratios.

2/ Distribution across LICs for which LIC DSAs were produced.

3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

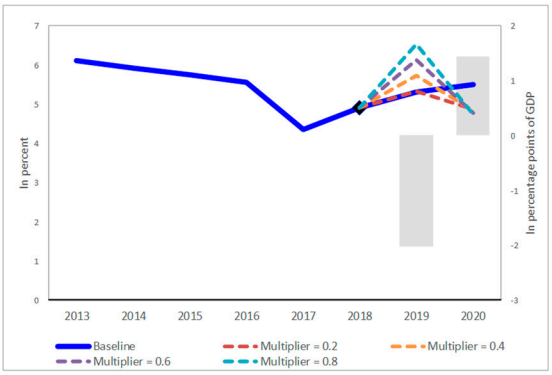
Figure 4. Togo: Realism Tools

3-Year Adjustment in Primary Balance
(Percentage points of GDP)



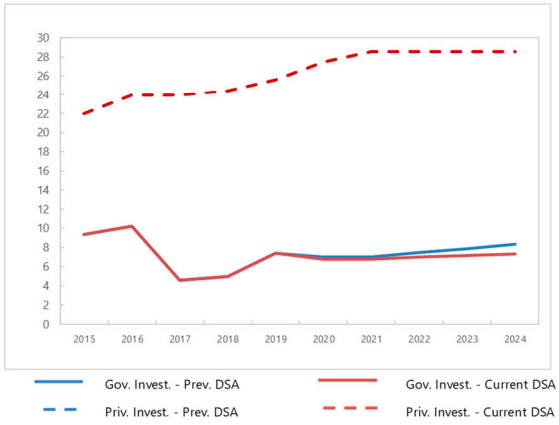
1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 1/



1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Public and Private Investment Rates
(% of GDP)



Contribution to Real GDP growth
(percent, 5-year average)

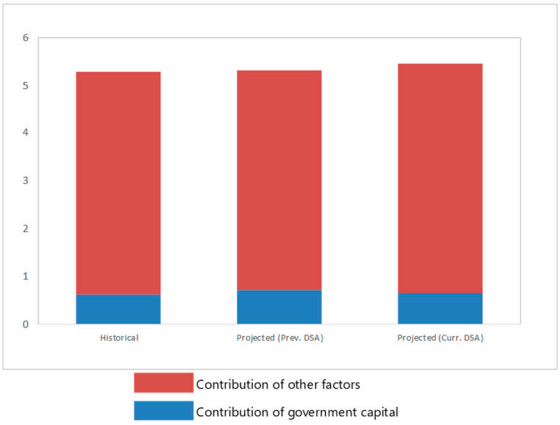


Figure 5. Togo: Qualification of the Moderate Category, 2019–29 1/

Sources: Country authorities; and staff estimates and projections.

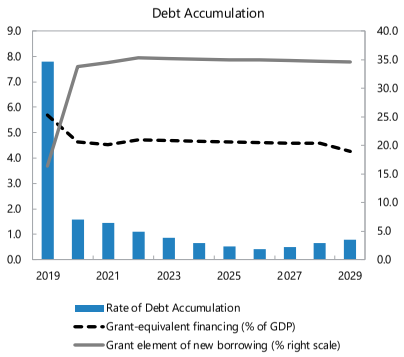
1/ For the PV debt/GDP and PV debt/exports thresholds, x is 20 percent and y is 40 percent. For debt service/Exports and debt service/revenue thresholds, x is 12 percent and y is 35 percent.

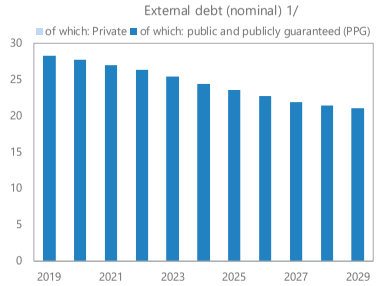
Table 5. Togo: External Debt Sustainability Framework, Debt Reprofiling Scenario, 2016–39

(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 8/	
	2016	2017	2018	2019	2020	2021	2022	2023	2024	2029	2039	Historical	Projections
External debt (nominal) 1/	**20.2**	**20.1**	**20.5**	**28.2**	**27.7**	**27.0**	**26.3**	**25.4**	**24.4**	**21.1**	**21.1**	**20.7**	**24.5**
of which: public and publicly guaranteed (PPG)	**20.2**	**20.1**	**20.5**	**28.2**	**27.7**	**27.0**	**26.3**	**25.4**	**24.4**	**21.1**	**21.1**	**20.7**	**24.5**
Change in external debt	-1.5	0.0	0.3	7.7	-0.5	-0.7	-0.7	-0.9	-1.0	-0.3	0.0		
Identified net debt-creating flows	**15.2**	**-1.9**	**0.3**	**1.8**	**1.8**	**1.1**	**0.5**	**0.5**	**0.2**	**0.7**	**1.2**	**9.4**	**0.7**
Non-interest current account deficit	**9.4**	**1.6**	**4.6**	**5.3**	**5.7**	**5.2**	**4.8**	**4.9**	**4.7**	**5.1**	**5.7**	**7.4**	**5.0**
Deficit in balance of goods and services	18.4	10.5	12.3	12.5	12.9	12.4	11.9	11.9	11.8	12.1	12.4	**16.6**	**12.1**
Exports	35.3	33.1	31.3	32.1	32.0	32.5	33.1	33.5	34.0	35.9	40.6		
Imports	53.7	43.5	43.6	44.6	45.0	44.9	45.0	45.5	45.8	48.0	53.0		
Net current transfers (negative = inflow)	-7.6	-8.3	-7.0	-6.8	-6.6	-6.6	-6.4	-6.4	-6.4	-6.3	-5.9	**-7.7**	**-6.5**
of which: official	-1.6	-2.2	-1.1	-1.3	-1.2	-1.2	-1.2	-1.2	-1.2	-1.1	-0.5		
Other current account flows (negative = net inflow)	-1.3	-0.5	-0.7	-0.5	-0.6	-0.6	-0.6	-0.6	-0.6	-0.6	-0.7	**-1.4**	**-0.6**
Net FDI (negative = inflow)	**6.8**	**-2.5**	**-2.5**	**-2.7**	**-3.0**	**-3.2**	**-3.5**	**-3.6**	**-3.7**	**-3.8**	**-3.8**	**2.6**	**-3.5**
Endogenous debt dynamics 2/	**-1.0**	**-1.0**	**-1.8**	**-0.8**	**-0.9**	**-0.9**	**-0.8**	**-0.8**	**-0.8**	**-0.7**	**-0.7**		
Contribution from nominal interest rate	0.4	0.4	0.3	0.3	0.5	0.5	0.5	0.5	0.5	0.4	0.4		
Contribution from real GDP growth	-1.1	-0.8	-0.9	-1.1	-1.4	-1.4	-1.4	-1.3	-1.3	-1.1	-1.1		
Contribution from price and exchange rate changes	-0.3	-0.6	-1.2	...	...	...	...	...	...	...	...		
Residual 3/	**-16.6**	**1.9**	**0.0**	**6.0**	**-2.3**	**-1.8**	**-1.2**	**-1.3**	**-1.3**	**-1.0**	**-1.2**	**-13.2**	**-0.7**
of which: exceptional financing	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators													
PV of PPG external debt-to-GDP ratio	**...**	**...**	**15.1**	**22.4**	**22.1**	**21.5**	**20.7**	**19.7**	**18.6**	**14.6**	**14.6**		
PV of PPG external debt-to-exports ratio	**...**	**...**	**48.2**	**69.7**	**69.0**	**66.2**	**62.4**	**58.8**	**54.7**	**40.8**	**35.9**		
PPG debt service-to-exports ratio	**4.9**	**5.9**	**4.9**	**3.9**	**4.7**	**4.3**	**5.9**	**6.2**	**6.5**	**4.8**	**2.6**		
PPG debt service-to-revenue ratio	**9.3**	**10.7**	**7.5**	**6.3**	**7.5**	**6.8**	**9.4**	**10.0**	**10.5**	**7.3**	**4.5**		
Gross external financing need (Billion of U.S. dollars)	0.2	0.3	0.5	0.5	0.6	0.6	0.7	0.8	0.9	1.4	3.1		
Key macroeconomic assumptions													
Real GDP growth (in percent)	5.6	4.4	4.9	5.3	5.5	5.5	5.5	5.5	5.5	5.5	5.5	**5.7**	**5.5**
GDP deflator in US dollar terms (change in percent)	1.3	2.9	6.4	-2.9	2.6	3.9	3.7	3.5	3.7	2.9	2.9	**-0.6**	**2.6**
Effective interest rate (percent) 4/	1.8	2.0	1.7	1.3	2.0	2.0	2.1	2.1	2.1	2.1	2.0	**1.5**	**2.0**
Growth of exports of G&S (US dollar terms, in percent)	5.3	0.6	5.5	4.8	8.1	11.2	11.4	10.6	11.0	9.8	10.8	**4.6**	**9.6**
Growth of imports of G&S (US dollar terms, in percent)	-0.7	-12.9	11.8	4.5	9.1	9.5	9.5	10.4	10.2	9.6	10.4	**4.4**	**9.2**
Grant element of new public sector borrowing (in percent)	...	...	...	16.4	33.8	34.5	35.3	35.2	35.1	34.6	34.0	**...**	**33.1**
Government revenues (excluding grants, in percent of GDP)	18.7	18.2	20.3	19.9	20.0	20.3	20.5	20.8	21.0	23.4	24.2	**17.9**	**21.3**
Aid flows (in Billion of US dollars) 5/	0.3	0.4	0.4	0.3	0.2	0.3	0.3	0.3	0.4	0.5	0.6		
Grant-equivalent financing (in percent of GDP) 6/	...	...	...	5.7	4.6	4.5	4.7	4.7	4.7	4.3	2.3	**...**	**4.7**
Grant-equivalent financing (in percent of external financing) 6/	...	...	...	41.2	70.6	72.9	70.7	71.0	71.4	71.2	59.4	**...**	**68.8**
Nominal GDP (Billion of US dollars)	4	5	5	5	6	6	7	8	8	13	29		
Nominal dollar GDP growth	6.9	7.4	11.6	2.2	8.2	9.6	9.4	9.2	9.4	8.6	8.6	**5.1**	**8.3**
Memorandum items:													
PV of external debt 7/	...	...	15.1	22.4	22.1	21.5	20.7	19.7	18.6	14.6	14.6		
In percent of exports	...	...	48.2	69.7	69.0	66.2	62.4	58.8	54.7	40.8	35.9		
Total external debt service-to-exports ratio	4.9	5.9	4.9	3.9	4.7	4.3	5.9	6.2	6.5	4.8	2.6		
PV of PPG external debt (in Billion of US dollars)			0.8	1.2	1.3	1.4	1.5	1.5	1.6	1.9	4.2		
(PVt-PVt-1)/GDPt-1 (in percent)				7.8	1.6	1.4	1.1	0.9	0.6	0.8	1.3		
Non-interest current account deficit that stabilizes debt ratio	10.9	1.7	4.3	-2.5	6.2	5.9	5.5	5.8	5.8	5.5	5.7		

Definition of external/domestic debt	Currency-based
Is there a material difference between the two criteria?	Yes





Sources: Country authorities; and staff estimates and projections.

1/ Includes debt of the central government and public entities.

2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

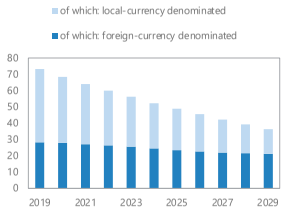
Table 6. Togo: Public Sector Debt Sustainability Framework, Debt Reprofiling Scenario, 2016–39

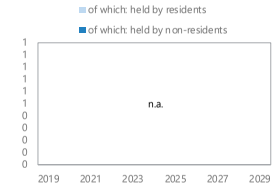
(In percent of GDP, unless otherwise indicated)

	Actual			Projections												Average 6/	
	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2039	Historical	Projections
Public sector debt 1/	**81.4**	**76.0**	**76.2**	**73.0**	**68.6**	**64.1**	**60.1**	**56.1**	**52.3**	**48.8**	**45.5**	**42.3**	**39.3**	**36.4**	**29.4**	**64.8**	**53.3**
of which: external debt	**20.2**	**20.1**	**20.5**	**28.2**	**27.7**	**27.0**	**26.3**	**25.4**	**24.4**	**23.6**	**22.7**	**21.9**	**21.4**	**21.1**	**21.1**	**20.7**	**24.5**
Change in public sector debt	9.2	-5.4	0.2	-3.1	-4.5	-4.4	-4.1	-4.0	-3.8	-3.5	-3.3	-3.1	-3.0	-2.9	0.4		
Identified debt-creating flows	**5.5**	**-5.7**	**-1.8**	**-2.8**	**-4.3**	**-4.2**	**-3.8**	**-3.8**	**-3.7**	**-3.3**	**-3.2**	**-3.0**	**-2.9**	**-2.9**	**0.4**	**-6.0**	**-3.4**
Primary deficit	**7.2**	**-1.5**	**-1.6**	**0.4**	**-1.0**	**-1.0**	**-1.0**	**-1.0**	**-1.0**	**-1.0**	**-1.0**	**-1.0**	**-1.0**	**-1.0**	**2.0**	**3.3**	**-0.9**
Revenue and grants	21.6	21.4	23.9	24.0	23.7	23.9	24.2	24.4	24.6	25.2	25.6	26.1	26.5	26.7	25.7	**20.5**	**25.0**
of which: grants	2.9	3.2	3.6	4.1	3.6	3.6	3.6	3.6	3.6	3.6	3.6	3.6	3.6	3.4	1.5		
Primary (noninterest) expenditure	28.7	19.9	22.3	24.4	22.7	22.9	23.2	23.4	23.6	24.2	24.6	25.1	25.5	25.7	27.6	**23.8**	**24.1**
Automatic debt dynamics	**-1.7**	**-4.2**	**-1.4**	**-2.2**	**-3.3**	**-3.2**	**-2.9**	**-2.8**	**-2.6**	**-2.3**	**-2.2**	**-2.0**	**-1.9**	**-1.9**	**-1.5**		
Contribution from interest rate/growth differential	-2.2	-2.3	-2.3	-2.5	-2.9	-2.7	-2.5	-2.4	-2.3	-1.6	-1.5	-1.4	-1.3	-1.3	-1.0		
of which: contribution from average real interest rate	1.6	1.1	1.2	1.3	0.9	0.8	0.9	0.7	0.7	1.1	1.0	0.9	0.9	0.8	0.6		
of which: contribution from real GDP growth	-3.8	-3.4	-3.6	-3.8	-3.8	-3.6	-3.3	-3.1	-2.9	-2.7	-2.5	-2.4	-2.2	-2.0	-1.5		
Contribution from real exchange rate depreciation	0.5	-1.9	0.9	...	...	...	...	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.0**	**0.0**	**1.2**	**-1.1**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**-6.8**	**-0.1**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
2018 revenue arrears paid in 2019	0.0	0.0	1.2	-1.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**3.7**	**0.3**	**2.0**	**0.1**	**-0.6**	**-0.7**	**-0.6**	**-0.6**	**-0.6**	**-0.8**	**-0.8**	**-0.7**	**-0.7**	**-0.7**	**-0.6**	**4.4**	**-0.6**
Sustainability indicators																	
PV of public debt-to-GDP ratio 2/	**...**	**...**	**71.3**	**67.3**	**62.9**	**58.5**	**54.4**	**50.3**	**46.4**	**42.8**	**39.3**	**36.1**	**32.9**	**29.9**	**22.8**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**298.4**	**280.6**	**265.4**	**244.6**	**224.8**	**205.9**	**188.4**	**169.8**	**153.6**	**138.5**	**124.2**	**111.8**	**88.9**		
Debt service-to-revenue and grants ratio 3/	**55.5**	**101.7**	**57.7**	**62.2**	**41.3**	**44.7**	**31.3**	**32.5**	**32.6**	**29.7**	**28.8**	**24.1**	**23.1**	**18.5**	**8.9**		
Gross financing need 4/	19.1	20.3	13.4	14.2	8.8	9.7	6.6	6.9	7.0	6.5	6.4	5.3	5.1	4.0	4.3		
Key macroeconomic and fiscal assumptions																	
Real GDP growth (in percent)	5.6	4.4	4.9	5.3	5.5	5.5	5.5	5.5	5.5	5.5	5.5	5.5	5.5	5.5	5.5	**5.7**	**5.5**
Average nominal interest rate on external debt (in percent)	1.8	2.1	1.6	1.3	2.0	2.0	2.1	2.1	2.1	2.1	2.1	2.1	2.1	2.1	2.0	**1.5**	**2.0**
Average real interest rate on domestic debt (in percent)	3.0	1.9	2.6	2.7	2.3	2.2	2.4	2.3	2.3	2.3	2.3	2.3	2.3	2.1	2.1	**1.5**	**2.3**
Real exchange rate depreciation (in percent, + indicates depreciation)	2.7	-10.0	4.7	...	...	...	...	...	...	...	...	...	...	...	...	**2.2**	**...**
Inflation rate (GDP deflator, in percent)	1.5	0.9	1.7	2.1	2.8	2.9	2.9	2.9	2.9	2.9	2.9	2.9	2.9	2.9	2.9	**1.4**	**2.8**
Growth of real primary spending (deflated by GDP deflator, in percent)	7.1	-27.7	17.6	15.3	-2.0	6.7	6.7	6.6	6.3	8.2	7.2	7.6	7.2	6.3	5.5	**10.1**	**6.9**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	-2.1	3.9	-1.8	3.6	3.4	3.4	3.1	3.0	2.8	2.5	2.3	2.2	2.0	2.0	1.5	**0.0**	**2.8**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Currency-based**
Is there a material difference between the two criteria?	**Yes**

Public sector debt 1/





Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government, government-guaranteed debt, non-guaranteed SOE debt. Definition of external debt is Currency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

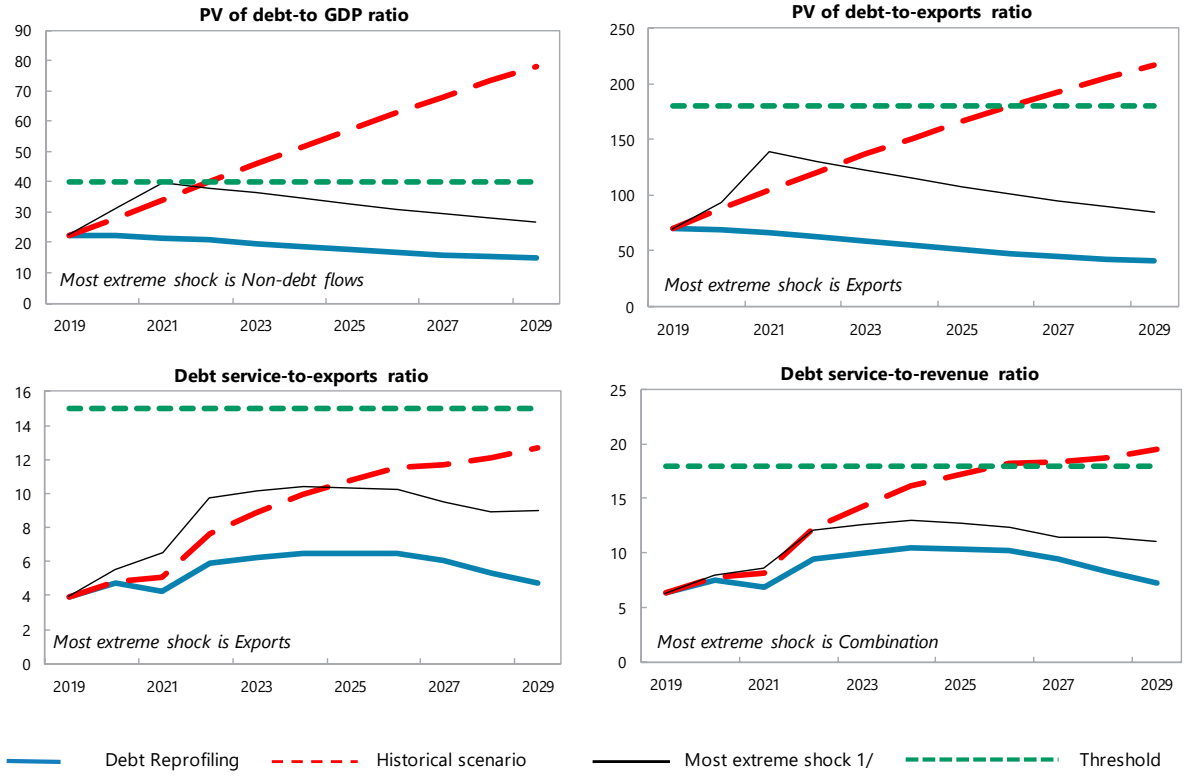
3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Figure 6. Togo: Indicators of Public Guaranteed External Debt Under Alternatives Scenarios for the Debt Reprofiling Scenario, 2019–29 1/



Customization of Default Settings	Size	Interactions
Tailored Tests		
Combined CLs	Yes	
Natural Disasters	n.a.	n.a.
Commodity Prices 2/	n.a.	n.a.
Market Financing	n.a.	n.a.

Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

Borrowing Assumptions for Stress Tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	2.5%	2.5%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	27	27
Avg. grace period	7	7

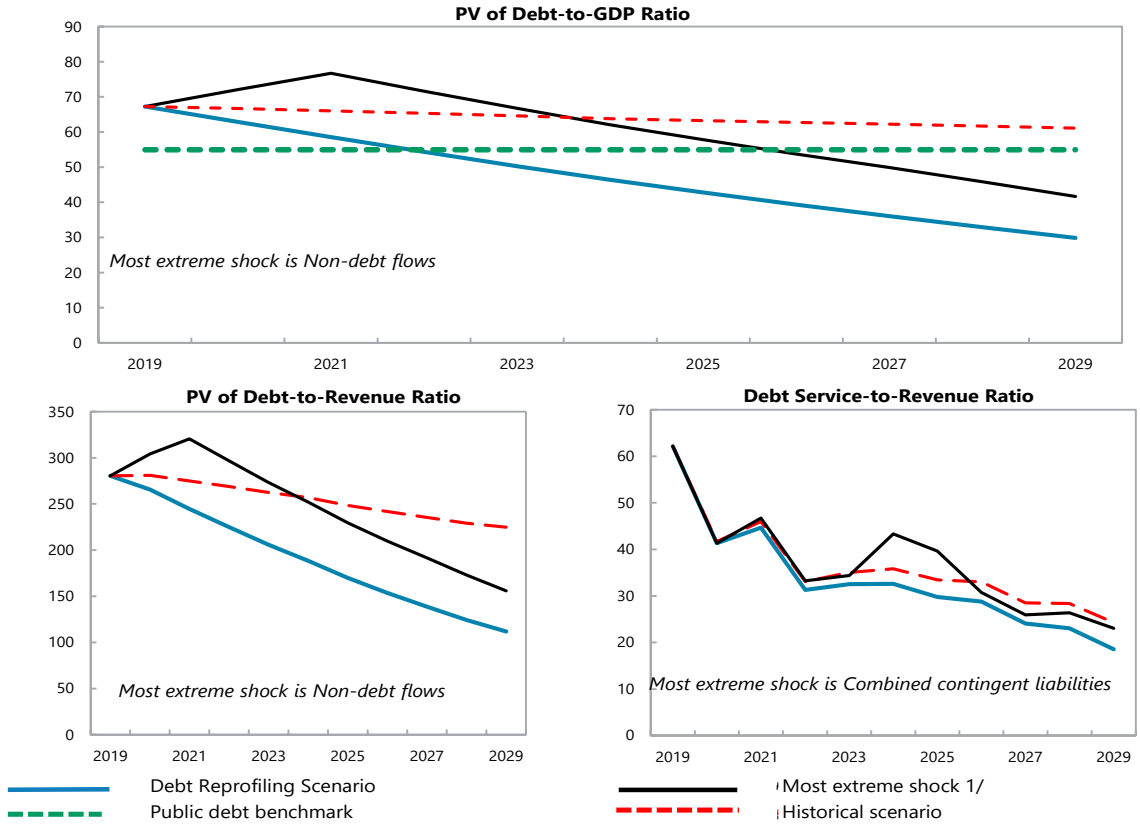
* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2029. Stress tests with one-off breaches are also presented (if any), while these one-off breaches are deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

2/ The magnitude of shocks used for the commodity price shock stress test are based on the commodity prices outlook prepared by the IMF research department.

Figure 7. Togo: Indicators of Public Debt Under Alternative Scenarios for the Debt Reprofiling Scenario, 2019–29



Borrowing Assumptions for Stress Tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	48%	48%
Domestic medium and long-term	52%	52%
Domestic short-term	0%	0%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	2.5%	2.5%
Avg. maturity (incl. grace period)	27	27
Avg. grace period	7	7
Domestic MLT debt		
Avg. real interest rate on new borrowing	3.6%	3.6%
Avg. maturity (incl. grace period)	5	5
Avg. grace period	3	3
Domestic short-term debt		
Avg. real interest rate	3.7%	3.7%

* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2029. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

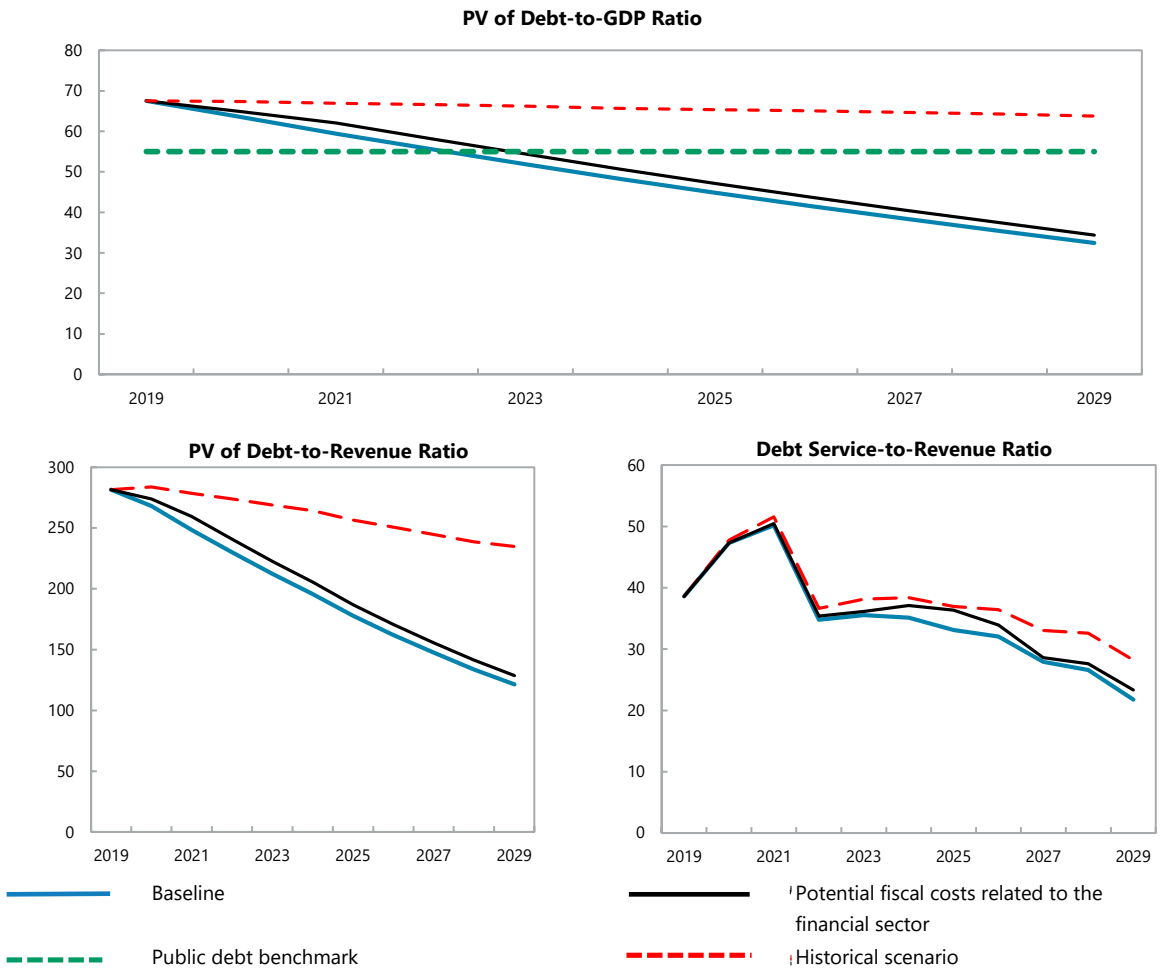



Figure 8. Togo: Indicators of Public Debt Under Alternative Scenarios, Including Potential Fiscal Costs Related to the Financial Sector, 2019–29